## Building Winning Algorithmic Trading Systems (Davey) — Concept Quiz

Name: _____ Date: _____ Score: ____ / 30 questions (one underline = one missing word or short phrase)

### Introduction & Chapters 1–3

**1.** Davey calls a trading system a _____, and a mechanical system is also called _____.

**2.** Wiest's scale trading amounts to averaging _____, which Davey later called his "_____" approach.

**3.** Picking the best of 20–25 instruments was optimizing on the _____, and he ran no _____ study.

### Chapters 4–7

**4.** On the "BS meter," the highest reading is for trading system _____; the lowest is the experienced _____ developer.

**5.** The four testing methods: historical back testing, _____, _____ and real-time testing.

**6.** Walk-forward stitches together many _____ periods, and the first one should be done by _____.

**7.** Monte Carlo is sampling with _____; it assumes trades are _____, which a _____ test can check.

**8.** Return/drawdown is a version of the _____ ratio, properly measured over _____ years.

### Chapters 8–11

**9.** To avoid the blind-squirrel scenario: use a _____ basis, keep it _____, and optimize _____.

**10.** SMART stands for Specific, Measurable, _____, _____ and Time bound.

**11.** Van Tharp's random-entry study showed that _____ matter more than entries.

**12.** TradeStation and Kinetick use the _____ price for daily bars; CQG uses the _____.

**13.** On forex data use only _____ orders, to avoid _____ fills.

### Chapters 12–15

**14.** Exit tests pair the exit with a _____-approach entry, or with a _____ entry.

**15.** MFE and MAE stand for maximum _____ excursion and maximum _____ excursion.

**16.** A system profitable in under 30% of iterations gets the George _____ reverse; 30–70% is "_____ land."

**17.** The monkey tests are named after Burton _____'s book "A _____ Down Wall Street."

**18.** Walk-forward can be _____ (fixed start) or _____ (moving start); Davey prefers the latter.

**19.** Avoid buy fills at the _____, sell fills at the _____, and exotic bars such as _____.

### Chapters 16–20

**20.** Martingale means you _____ your bet after every loss.

**21.** Losing systems cannot become _____, but winning systems can become _____.

**22.** Reversal entries make the euro strategies a type of mean _____; Davey likens the edge to a _____ band.

**23.** To combine strategies in Monte Carlo, use _____ results rather than individual trades.

**24.** A quit point should be based on the _____ you trade, written _____, and _____.

### Chapters 21–25

**25.** If the open trade is a _____, Davey enters it; if it is a _____, he waits for the next signal.

**26.** After a mishap, sync positions using _____ orders; breaking the rules means you are just _____.

**27.** Return efficiency is actual divided by _____; strategies that perform "too good" revert to the _____.

**28.** A winning system can show _____ results for a while because of the order of _____.

**29.** "Beware of _____ who don't trade"; Cal's lesson is Keep It _____, Stupid.

**30.** Demo success has practically zero _____ with real-money results (Don Demo).